



Complex priorities

A fear of political fallout has led to an overly complex MDR structure on UPI

The Merchant Discount Rate (MDR) charges announced for UPI transactions show how political considerations can dilute economic benefits. In a quest to preempt political attacks, the rate structure announced by the National Payments Corporation of India has been made overly complex. From October 15, the new rates will apply only to UPI payments of ₹2,000 or more made at merchants. As such, the charge is limited to only about 2.5% of all UPI transactions, which is a welcome limitation. Yet, within this, the rules have created different gradations. UPI payments made at small merchants earning less than ₹1 lakh a month are exempt. Those made to merchants operating in certain essential sectors will attract a flat MDR charge instead of the 0.4% applicable on other sectors. Capital market payments above ₹2,000 will attract a different MDR. These are clearly designed keeping political backlash in mind. However, they raise some important doubts among merchants, and could potentially slow the adoption of UPI in India. For example, the rules are not clear on what happens to a small merchant who crosses the ₹1 lakh a month turnover threshold, which is a low limit at today's prices. Who is monitoring their incomes? This will either increase the compliance burden on small merchants, or involve a new mechanism for real-time transaction-checking that banks will have to develop. In the short run, it will likely result in small merchants simply refusing to accept UPI until greater clarity emerges.

The government has also instructed banks to make sure that merchants do not pass on this charge to customers. But it has not specified how banks are expected to check whether merchants tweak their prices to absorb this additional charge. A back-of-the-envelope calculation based on past trends suggests that the MDR will yield an upper limit of ₹2,400 crore of monthly revenue for the payments ecosystem. The sector-wise flat rates and reduced rates will likely result in a lower amount. The government has denied any U.S. pressure to bring these rates to favour American credit card companies. Yet, the data suggest that the benefit will largely accrue to private banks and U.S.-owned UPI apps. There is still an argument to be made for the Reserve Bank of India to foot this bill from the vast surpluses it generates every year. Maintaining vital payment infrastructure is surely a good use of these funds. However, if the government persists in implementing this charge, it should certainly simplify the structure. There is still time before its rollout. The Goods and Services Tax experience shows that rate complexity hits small businesses the hardest.

New fault lines

Manipur's new Kuki-Zo-Naga conflict needs firm, even-handed State action

In the three years since the conflagration of May 2023 hardened into a fault line between the Meitei and Kuki-Zo communities, Manipur has traversed a slow path towards peace between them. After nearly a year of President's Rule gave way in February 2026 to a Bharatiya Janata Party-led government under a new Chief Minister, Yumnam Khemchand Singh, attempts to engineer a thaw gathered pace with the everyday violence between the communities abating. Yet, many of those displaced in 2023 remain in relief camps; an RTI reply puts those dead in these camps at over 700, many due to the lack of access to basic health care and adequate nutrition. Even so, there have been tentative and encouraging openings towards rebuilding normalcy. On September 2, two Kuki-Zo MLAs attended the Assembly session – the first time since legislators from the community began boycotting it following the attacks in Imphal at the start of the ethnic conflict. In doing so they defied a directive from the Kuki-Zo civil society organisation, the Kuki Inpi Manipur, to continue the boycott until there was a concession on the demand for a separate administration. The two MLAs seem to acknowledge that it is time to reopen the political space even if differences persist, and for this, their presence in the Assembly must be welcomed.

Yet, these moves have coincided with a new ethnic fault line in Manipur. Since February, violence between the Naga and Kuki-Zo communities – which began as localised disputes – has spread across the hill districts. Till July, at least 15 Kuki-Zo people, 11 Nagas, three security personnel and a truck driver were killed; more have died in the last two months. Houses in Naga and Kuki-Zo villages have been burnt down and the newly displaced have moved into camps. Blockades imposed by partisans of the communities against the other have held up essentials and medicines, with the smaller Kuki-Zo community the worse affected. Health centres in the hills have been left dysfunctional. This echoes the Naga-Kuki violence of the 1990s, now revived by armed groups claiming to act on behalf of their respective communities and resurrecting arguments over who controls the hills and whose customary laws prevail there. With its tenure ending soon and Assembly elections due next year, the State government must move quickly to contain this outbreak of hostilities. It must work with civil society to lower the rhetoric – reportage from the ground suggests a weariness with the violence across communities – while acting against the armed groups with the help of the security forces. Those imposing blockades must be deterred by the force of law. Criminal law must apply equally across communities in the hills, and the safety and welfare of civilians must be guaranteed irrespective of ethnicity.

The political dominance of the Bharatiya Janata Party (BJP), which appeared almost unassailable after 2014, is beginning to show cracks. The 2024 general election was an important setback: the party lost its parliamentary majority and had to depend on its allies to form the government. Since then, disillusionment has acquired greater political salience through youth protests, rising prices, unemployment and failures of governance, particularly irregularities in the education and examination systems. To these can be added the defeat of the Constitutional Amendment Bill on delimitation and women's reservation in April, the Cockroach Janta Party (CJP) protests that led to the resignation of the then Union Education Minister and the complete washout of the monsoon session of Parliament, as both the Prime Minister and Home Minister stayed away. Questions over accountability for the excessive police action against student protesters on July 20, compounded by the absence of the two leaders from Parliament, reinforced the impression of a government unwilling to answer for its actions.

But these setbacks do not by themselves amount to an erosion of hegemony. The BJP remains a formidable political force, retaining a substantial electoral base and considerable ideological appeal. What is now at issue is whether the forces that produced the BJP's dominance are beginning to encounter limits. Uttar Pradesh is where this can be most clearly tested.

The citadel of the party's power, 2024 result U.P. is not merely India's most populous State; it is the citadel of BJP power, central to the party's rise to national prominence. In the 2014 general election, the BJP won 71 of the State's 80 seats, establishing it as a crucial pillar of its national power. In the 2019 general election, it won 62 seats on its own despite the formidable alliance of the Samajwadi Party (SP) and the Bahujan Samaj Party. The State's electoral weight was thus instrumental to its successive parliamentary majorities at the Centre. U.P. is still the crucible of the BJP's majoritarian politics and its Hindu-Muslim mobilisation. A weakening of the BJP here would therefore have implications far beyond the State.

The 2024 general election strongly indicates that the BJP had lost ground in U.P. Its tally fell from 62 seats in 2019 to 33, while the SP won 37 and the Congress six. The sharpest erosion occurred in Awadh, once the heartland of the Ayodhya temple movement. In 2022, the BJP won 101 of Awadh's 154 Assembly seats. In 2024, it was



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The State's changing electoral landscape, marked by the BJP losing ground in 2024, raises questions about how long the party's political dominance can endure

leading in only 51 of those Assembly segments – 50 fewer than the number it had won in 2022.

The timing made the 2024 general election result extremely significant. It followed the inauguration of the Ram temple in Ayodhya, which was the culmination of a political and cultural project that had animated the BJP and the wider Hindu right for decades. Yet, the inauguration did not produce the electoral impact that might have been expected: most strikingly, the BJP lost the Faizabad seat, which includes Ayodhya itself. It also lost in many constituencies around it. This does not mean that Ayodhya or the majoritarian politics surrounding it has ceased to matter. The consequential point is that it was no longer enough to win elections even in the movement's heartland. The fact that the erosion was most visible in this region adds to its significance, given the subsequent controversy over donations to the temple. The episode, whose effects are still being felt across the State, showed that even powerful ideological symbols are not beyond questions of integrity.

This matters because the BJP's political hold in U.P. has rested on a combination of communal mobilisation, a durable electoral base and social coalitions built around the temple campaign. The 2024 general election showed that this alignment could be disrupted. Its longer-term implications will depend on whether that disruption proves temporary or marks a lasting shift in the electorate's preferences and expectations.

Some of the prominent fault lines

The 2024 result also suggests that voters are becoming less willing to let a single dimension of politics overwhelm all others, especially when claims of economic performance do not match the realities on the ground. U.P. remains among the poorer-performing economies of the north and east – as it has for decades. Its economy has grown, but growth has not fundamentally altered its relative economic position or generated enough productive employment. The gap between the rhetoric of transformation and economic experience on the ground is particularly visible in the State's industrial clusters. In Kanpur, Firozabad, Bhadohi and Moradabad, exporters have faced serious disruption from the tariff regime of the United States, and the duties raised on Indian goods, with falling orders, shrinking market access and risks to employment, principally among temporary and contract workers.

The frustration among young voters is strikingly evident in the precarity of employment and recruitment. Many were actively involved in the anti-National Eligibility cum Entrance Test

that remained legal in Europe. Sanctions against Russia widened after 2022. Export controls pursued foreign suppliers of chips and machine tools. Oil restrictions reached tankers, insurers, ship managers and traders. Sanctions increasingly followed the transaction rather than stopping with the seller. On September 16, the U.S. Congress passed a sanctions bill that would authorise the U.S. President to impose tariffs as a form of economic coercion. Indian exports to the U.S. could face tariffs of up to 100% over India's purchases of Russian oil. The Indian government is monitoring developments and has said that it will work with industry to protect India's trade and economic interests.

Iran is using a different chokepoint at sea. On August 23, its Persian Gulf Strait Authority published a list of 45 vessels it called non-compliant. They included *Disha*, chartered by Petronet LNG and managed by the Shipping Corporation of India, and *Maha Roos*, an Indian-flagged bulk carrier. The authority did not explain the alleged breaches. By September 14, the list had grown to 77. The authority also warned insurers against covering listed ships. Washington has already sanctioned the authority and warned that seeking passage guarantees from it could carry sanctions risks, even without payment.

The domestic consequences

Economic coercion ties foreign policy directly to the domestic economy. Its consequences reach households, farmers and seafarers. No Ministry can see the whole chain on its own.

During the current West Asia crisis, the government coordinated Ministries, monitored vessels and supplies, raised LPG production and found alternative cargoes. It has kept pumps open and kitchens supplied.

That coordination should survive the crisis. An Economic Security and Sanctions Office under the Cabinet Secretariat should become India's permanent war room for economic coercion. It should bring together officials responsible for foreign policy, finance, commerce, energy, shipping, law and defence, alongside the Reserve

protests earlier in the year. U.P. has seen repeated examination leaks and cancellations. In 2024, the police constable examination, taken by around 48 lakh candidates for 60,244 posts, was cancelled following a paper leak. The Review Officer/Assistant Review Officer examination was similarly cancelled amid allegations of irregularities, where out of a total of 10.76 lakh registered candidates, about 6.8 lakh candidates appeared, competing for just 411 posts. For a generation that invests years in its preparation for scarce government jobs, such failures are not merely administrative lapses. They can mean the loss of money spent on coaching and applications, income and opportunity in a State where government employment remains a highly valued path to economic security.

The battle lines are being drawn

In these circumstances, the 2027 U.P. election is likely to be more closely contested than those that the BJP has faced in the State in recent years. The party remains the strongest contender, but the 2024 result has opened space for the Opposition and revealed strains at various levels that were barely perceptible in earlier elections. The government is working overtime to address the gap on several fronts, reflected in a slew of measures to promote local entrepreneurship and provide stipends for students in corporate and technical institutions.

It is also set to introduce new schemes for women, such as the Mahila Udyami Credit Yojana, under which around one crore women associated with self-help groups are expected to receive interest-free credit of up to ₹1 lakh in stages. The Opposition, too, sees an opening. Both the SP and the Congress are seeking to strengthen their appeal among younger voters, with their leaders, Akhilesh Yadav and Rahul Gandhi, focusing on student unrest, unemployment and widening caste fault lines, particularly divisions among upper castes and between them and the Other Backward Classes. Convergence between the two parties, as in 2024, could bolster the Opposition's chances in the 2027 U.P. election.

The 2027 election will therefore reveal more than the BJP's ability to recover lost seats. It will show whether the political template that carried the party to power from Lucknow to New Delhi still commands the same electoral force. The 2024 result has already shown that this template is no longer invulnerable in U.P. The 2027 election will determine whether the shift revealed in 2024 becomes more durable. What happens in U.P. could therefore alter the political balance on which the BJP's national dominance has rested.

A war room for India in an age of sanctions



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The next sanctions crisis may begin with a name on a Washington list and end in an Indian kitchen. Between them lie a New York bank, a London insurer, a tanker in the Strait of Hormuz and several Ministries in Delhi. Foreign pressure moves through one system. No single Ministry follows the whole journey. Diplomacy, law, banking, trade, shipping and fuel supplies sit in different parts of government. Who owns the combined response?

Washington sanctioned four companies based in India and three Indian nationals over alleged trade in Iranian oil and petrochemicals. Tehran listed an LNG carrier serving India and an Indian-flagged bulk carrier for possible fines, detention or confiscation in the Strait of Hormuz. One order travels through bank wires; the other waits at sea.

‘Weaponised interdependence’

India makes its own laws and foreign policy. Yet, an Indian company may need an American bank for payment, a foreign insurer for its ship, and safe passage to deliver cargo through a strait that another state can disrupt. Whoever controls a critical network can exert pressure on those who depend on it. Scholars call this weaponised interdependence.

Secondary sanctions tell a foreign business to abandon a targeted transaction or risk losing access to American finance. On August 24, the United States widened that threat under Operation Economic Outcast across five Iranian sectors: digital assets, technology, gold, aviation and shipping. On September 14, Washington imposed Iran-related sanctions on Russia's VTB Bank, which has a Delhi branch. Banks dealing with it face sanctions risk, even where a transaction is permitted under Indian law.

American laws in the 1990s threatened foreign companies with penalties for conduct abroad. Europe responded with a Blocking Statute. When secondary sanctions against Iran returned in 2018, several European companies withdrew despite having legal protection at home. The possible loss of access to American banking and dollar payments was enough to choke off trade

A coordinated response is essential as sanctions increasingly target entire transactions

forces cannot be ruled out. At a time when cybercrimes are frequently reported, the abuse of AI in cyberspace could cause irreparable damage to society. The technology companies promoting AI must also provide a safety net to protect the global community from possible AI-related threats. Though superintelligence could be a

valuable servant of the public good, it could also become a dangerous master.

S. Seshadri,
Chennai

Deserving Phalke awardee Veteran Kannada actor Anant Nag richly deserves the Dadasaheb Phalke award. His effortless acting and flawless diction in

parallel and mainstream cinema are what have endeared him to his fans. His journey in life, from modest means to celebrity status, is inspiring.

Dr. Ganapathi Bhat,
Akola, Maharashtra

Celebrating bamboo On World Bamboo Day, September 18, it is worth recognising a remarkable

plant that holds immense cultural and ecological value. Known variously as ‘green gold’ and ‘poor man's timber’, bamboo is an environmental powerhouse, with more than 1,500 species capable of thriving in diverse climates. Globally, bamboo is deeply woven into human traditions. Beyond its well-established traditional uses, it is a vital

ally in combating climate change. There must be greater awareness of the work of premier institutions such as India's Forest Research Centre for Bamboo and Rattan (FRCBR), in Aizawl, Mizoram.

M. Pradyu,
Thalikkavu, Kannur, Kerala

Letters emailed to letters@thehindu.co.in must carry the postal address.